# OFFERING MEMORANDUM

Pelican Business Park | Denver, CO

| | |
|---|---|
| **Property** | Pelican Business Park |
| **Location** | 8781 Station Parkway, Denver, CO 82637 |
| **Property Type** | Industrial |
| **Size** | 47,000 SF |
| **Year Built** | 2008 |
| **Offering** | Unpriced - Offers Due May 22, 2021 |

## Business Plan Progress

The building offers 44' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Projected levered IRR is 3.7% with an equity multiple of 1.9x over the hold period.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. In-place rents average $11 per square foot triple net with 3% annual escalations. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Projected levered IRR is 8.6% with an equity multiple of 1.31x over the hold period. The building offers 20' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

## Supply and Demand

The Denver Industrial market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 5.13% and 5.13%. Pelican Business Park is located in Denver, CO, a market that has recorded 6.2% population growth over the last five years. Rent growth in the submarket has averaged 3.4% annually over the past 11 years.

The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Median household income within a 9-mile radius of the property is approximately $164,000 and has grown 10.9% annually. Market vacancy for comparable Industrial product stands at 8.0%, down from 3.6% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors.

## Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The building offers 13' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations.

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. In-place rents average $11 per square foot triple net with 3% annual escalations. The building offers 39' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 11.3% with an equity multiple of 1.30x over the hold period.

## Supply and Demand

Market vacancy for comparable Industrial product stands at 4.7%, down from 4.7% two years ago. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $11 per square foot triple net with 3% annual escalations. Median household income within a 7-mile radius of the property is approximately $365,000 and has grown 14.0% annually.

Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 8.02% and 8.02%. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Industrial product stands at 3.3%, down from 4.0% two years ago. Pelican Business Park is located in Denver, CO, a market that has recorded 10.5% population growth over the last five years. Rent growth in the submarket has averaged 5.5% annually over the past 12 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Business Plan Progress

In-place rents average $11 per square foot triple net with 3% annual escalations. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 46' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations. Projected levered IRR is 2.1% with an equity multiple of 1.45x over the hold period. The facility is located 7 miles from the interstate with access to a regional intermodal terminal.

## Supply and Demand

The Denver Industrial market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The building offers 25' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Rent growth in the submarket has averaged 7.8% annually over the past 8 years. Employment growth is led by healthcare, logistics, education and professional services sectors.

The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Pelican Business Park is located in Denver, CO, a market that has recorded 6.1% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

## Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.0% with an equity multiple of 1.26x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 1 miles from the interstate with access to a regional intermodal terminal.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. In-place rents average $11 per square foot triple net with 3% annual escalations. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 6' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

## Supply and Demand

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Pelican Business Park is located in Denver, CO, a market that has recorded 2.9% population growth over the last five years. Market vacancy for comparable Industrial product stands at 5.8%, down from 7.6% two years ago. Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 5.69% and 5.69%. Median household income within a 6-mile radius of the property is approximately $239,000 and has grown 12.2% annually. The facility is located 7 miles from the interstate with access to a regional intermodal terminal.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $11 per square foot triple net with 3% annual escalations. Pelican Business Park is located in Denver, CO, a market that has recorded 6.8% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

## Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. The building offers 7' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 25' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital. Projected levered IRR is 5.0% with an equity multiple of 1.44x over the hold period.

## Market Overview

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Sales Comparison Data

| Comparable | Location | Sale Date | Size | Price | $/Unit or SF | Cap Rate | Yr Built |
|---|---|---|---|---|---|---|---|
| Prairie Business Park | Las Vegas, NV | 02/28/2022 | 1 | $7,322,634 | $156 | 6.96% | 2002 |
| Copper Business Park | Aurora, CO | 12/18/2024 | 1 | $7,051,810 | $150 | 6.87% | 1966 |
| Wexford Business Park | Seattle, WA | 12/13/2024 | 1 | $4,140,072 | $88 | 6.52% | 1975 |
| Calloway Business Park | Jacksonville, FL | 01/08/2024 | 1 | $6,954,416 | $148 | 5.59% | 1997 |
| Osprey Distribution Center | Louisville, KY | 07/12/2023 | 1 | $6,351,769 | $135 | 5.48% | 1985 |
| Dunmore Business Park | Tampa, FL | 08/30/2022 | 1 | $6,332,738 | $135 | 5.95% | 2011 |
| Northgate Logistics Center | Allentown, PA | 11/26/2025 | 1 | $5,511,265 | $117 | 5.35% | 1987 |
| Canyon Distribution Center | Allentown, PA | 05/19/2024 | 1 | $8,303,710 | $177 | 7.65% | 1972 |
| Zephyr Business Park | Des Moines, IA | 05/19/2026 | 1 | $4,957,442 | $105 | 7.60% | 2019 |
| Upland Distribution Center | Omaha, NE | 04/03/2023 | 1 | $8,439,066 | $180 | 6.61% | 1989 |
| Heritage Business Park | Philadelphia, PA | 09/20/2022 | 1 | $6,164,010 | $131 | 8.06% | 2014 |
| Heritage Logistics Center | Chicago, IL | 01/28/2022 | 1 | $6,895,820 | $147 | 8.08% | 1996 |
| Garnet Logistics Center | Albuquerque, NM | 08/07/2026 | 1 | $3,289,049 | $70 | 5.20% | 2005 |
| Foxglove Commerce Park | Kansas City, MO | 05/17/2023 | 1 | $7,100,223 | $151 | 7.61% | 2017 |
| Willow Industrial Park | Sacramento, CA | 09/17/2022 | 1 | $6,237,508 | $133 | 7.22% | 2010 |
| Dover Industrial Park | Naperville, IL | 12/02/2023 | 1 | $4,376,858 | $93 | 7.76% | 1968 |
| Banyan Commerce Park | Kansas City, MO | 11/08/2023 | 1 | $7,665,047 | $163 | 6.87% | 1971 |
| Westgate Commerce Park | Nashville, TN | 02/03/2024 | 1 | $6,588,916 | $140 | 7.55% | 2013 |
| Onyx Commerce Park | Grand Rapids, MI | 08/28/2023 | 1 | $6,424,286 | $137 | 6.42% | 1984 |
| Amberly Distribution Cente | Des Moines, IA | 04/28/2025 | 1 | $8,678,669 | $185 | 6.96% | 2005 |
| Windmill Logistics Center | Charlotte, NC | 08/05/2026 | 1 | $8,180,300 | $174 | 7.22% | 2015 |
| Stonebridge Logistics Cent | Portland, OR | 09/27/2024 | 1 | $6,891,199 | $147 | 5.26% | 2005 |
| Palisade Industrial Park | Des Moines, IA | 12/02/2023 | 1 | $5,567,741 | $118 | 6.79% | 2009 |
| Canyon Logistics Center | San Diego, CA | 09/06/2025 | 1 | $5,119,213 | $109 | 5.61% | 1978 |
| Cedar Commerce Park | Baltimore, MD | 03/16/2026 | 1 | $3,581,795 | $76 | 5.26% | 1992 |
| Cedar Commerce Park | Grand Rapids, MI | 10/27/2022 | 1 | $2,569,720 | $55 | 6.93% | 1989 |
| Heritage Logistics Center | San Diego, CA | 06/08/2024 | 1 | $3,426,447 | $73 | 5.44% | 1976 |
| Pinecrest Commerce Park | Baltimore, MD | 03/28/2026 | 1 | $7,072,391 | $150 | 6.10% | 2013 |
| Canyon Logistics Center | Memphis, TN | 03/30/2026 | 1 | $3,073,786 | $65 | 5.93% | 1995 |
| Foxglove Industrial Park | Cincinnati, OH | 07/07/2023 | 1 | $2,590,414 | $55 | 6.94% | 1965 |
| Birchwood Commerce Park | New Orleans, LA | 06/08/2025 | 1 | $5,254,736 | $112 | 6.77% | 1990 |
| Alder Business Park | Richmond, VA | 03/02/2023 | 1 | $2,763,356 | $59 | 7.74% | 1998 |
| Upland Logistics Center | Salt Lake City, UT | 05/09/2026 | 1 | $2,568,333 | $55 | 6.11% | 1968 |
| Stonebridge Logistics Cent | Seattle, WA | 04/01/2025 | 1 | $3,740,864 | $80 | 6.33% | 1969 |
| Sable Distribution Center | Des Moines, IA | 08/26/2024 | 1 | $7,143,217 | $152 | 5.46% | 2006 |
| Ridgeline Business Park | Norfolk, VA | 11/16/2022 | 1 | $6,222,204 | $132 | 6.21% | 1966 |
| Lakeshore Commerce Park | Memphis, TN | 10/07/2023 | 1 | $8,798,658 | $187 | 7.50% | 2018 |
| Mesa Commerce Park | Atlanta, GA | 08/09/2026 | 1 | $7,201,734 | $153 | 6.83% | 2012 |
| Sable Logistics Center | Oklahoma City, OK | 07/14/2024 | 1 | $3,103,159 | $66 | 5.58% | 1968 |
| Kingsley Commerce Park | Tampa, FL | 04/30/2025 | 1 | $3,573,796 | $76 | 7.67% | 1965 |
| Summit Logistics Center | Baltimore, MD | 08/12/2024 | 1 | $4,645,074 | $99 | 6.98% | 1981 |
| Gatewood Distribution Cent | Austin, TX | 06/21/2026 | 1 | $5,867,939 | $125 | 6.52% | 1985 |

Report generated 05/22/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Construction Details

The facility is located 7 miles from the interstate with access to a regional intermodal terminal. The roof is a 9-year membrane system with an estimated remaining useful life of 5 years. Common area interiors have been refreshed within the last 5 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The building offers 46' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Pelican Business Park was originally constructed in 2008 and consists of 47,000 SF in a building of 48 stories.

## Operating Performance

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The going-in capitalization rate of 5.40% reflects the in-place income and the stabilized occupancy assumption. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. The building offers 41' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $342,000, representing a 2.8% increase over the prior year. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x.

## Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. In-place rents average $11 per square foot triple net with 3% annual escalations. The roof is a 43-year membrane system with an estimated remaining useful life of 5 years. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The roof is a 13-year membrane system with an estimated remaining useful life of 4 years. Pelican Business Park was originally constructed in 2008 and consists of 47,000 SF in a building of 27 stories. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 16' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

## Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Debt service coverage ratio was 7.59x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $263,000 or approximately 15.81 per square foot, with real estate taxes representing the largest line item. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. In-place rents average $11 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The facility is located 3 miles from the interstate with access to a regional intermodal terminal. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $442,000, representing a 8.6% increase over the prior year. The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption. The building offers 23' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

## Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. In-place rents average $11 per square foot triple net with 3% annual escalations. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Pelican Business Park was originally constructed in 2008 and consists of 47,000 SF in a building of 21 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

The roof is a 27-year membrane system with an estimated remaining useful life of 9 years. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 8 miles from the interstate with access to a regional intermodal terminal.

## Financial Analysis

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Rent Comparables

| Comparable | Distance | Yr Built | Space Type | Asking Rent | Occupancy | Concessions |
|---|---|---|---|---|---|---|
| Magnolia Distribution Center | 3.5 mi | 1987 | Inline | $10.44 | 87.8% | None |
| Onyx Logistics Center | 3.7 mi | 2012 | Suite | $11.06 | 96.5% | None |
| Quincy Logistics Center | 1.1 mi | 1970 | 1BR | $10.90 | 89.4% | None |
| Mesa Distribution Center | 2.0 mi | 1984 | Unit | $11.61 | 90.7% | 1 mo. free |
| Canyon Business Park | 0.6 mi | 1981 | Bay | $12.16 | 88.5% | 1 mo. free |
| Prairie Logistics Center | 3.2 mi | 1988 | 2BR | $10.99 | 96.8% | None |
| Wexford Distribution Center | 0.5 mi | 1982 | 1BR | $10.79 | 96.4% | $500 |
| Yarrow Commerce Park | 3.8 mi | 1990 | 2BR | $10.41 | 87.8% | $500 |
| Ridgeline Industrial Park | 2.0 mi | 1974 | Studio | $12.53 | 90.8% | None |
| Ridgeline Business Park | 0.8 mi | 2000 | 1BR | $12.19 | 91.7% | None |
| Palisade Business Park | 2.9 mi | 1991 | Bay | $11.71 | 89.7% | None |
| Heritage Logistics Center | 1.0 mi | 2001 | 2BR | $9.49 | 94.3% | None |
| Ridgeline Business Park | 2.9 mi | 1972 | Inline | $10.36 | 93.9% | 1 mo. free |
| Riverbend Commerce Park | 2.8 mi | 2001 | Studio | $12.99 | 95.4% | None |
| Aspen Business Park | 1.5 mi | 2014 | 2BR | $12.00 | 95.4% | None |
| Canyon Industrial Park | 0.5 mi | 1978 | Suite | $12.75 | 92.6% | 1 mo. free |
| Palisade Industrial Park | 0.7 mi | 1984 | Suite | $10.01 | 97.7% | None |
| Banyan Commerce Park | 3.5 mi | 1983 | 1BR | $9.50 | 92.5% | None |
| Yarrow Distribution Center | 1.0 mi | 1996 | 2BR | $12.95 | 88.4% | $500 |
| Onyx Logistics Center | 1.2 mi | 1980 | Suite | $11.38 | 92.8% | None |
| Bayview Business Park | 3.1 mi | 1995 | 1BR | $12.13 | 96.3% | None |
| Bluestone Logistics Center | 1.2 mi | 1995 | 2BR | $12.29 | 88.4% | $500 |
| Foxglove Industrial Park | 1.8 mi | 1994 | Suite | $9.63 | 94.0% | $500 |
| Keystone Commerce Park | 4.1 mi | 1977 | Unit | $10.01 | 96.4% | None |
| Indigo Industrial Park | 3.5 mi | 1989 | Unit | $9.64 | 97.6% | 1 mo. free |
| Hollis Logistics Center | 0.3 mi | 2002 | 1BR | $12.34 | 90.7% | 1 mo. free |
| Vista Commerce Park | 0.3 mi | 1973 | Studio | $9.46 | 90.2% | None |
| Union Logistics Center | 2.7 mi | 1999 | Suite | $13.05 | 88.7% | 1 mo. free |
| Palisade Logistics Center | 4.4 mi | 2001 | Inline | $11.58 | 94.6% | $500 |
| Orchard Commerce Park | 1.0 mi | 2011 | 1BR | $11.65 | 88.7% | None |
| Union Logistics Center | 4.2 mi | 2017 | Bay | $10.17 | 87.1% | None |
| Everett Logistics Center | 2.5 mi | 2016 | 1BR | $13.10 | 90.8% | None |
| Mesa Distribution Center | 2.7 mi | 1970 | Unit | $12.04 | 87.6% | None |
| Alder Industrial Park | 0.3 mi | 1992 | 1BR | $10.63 | 88.3% | 1 mo. free |
| Elmhurst Distribution Center | 0.7 mi | 2009 | Studio | $9.86 | 94.0% | None |
| Valley Business Park | 1.6 mi | 2021 | Unit | $10.87 | 90.4% | None |
| Orchard Industrial Park | 1.0 mi | 1994 | Inline | $12.84 | 95.0% | $500 |
| Nautilus Commerce Park | 1.8 mi | 2008 | Studio | $9.55 | 92.6% | $500 |
| Birchwood Business Park | 1.0 mi | 1997 | 2BR | $12.90 | 92.7% | None |
| Palisade Commerce Park | 4.0 mi | 2023 | Studio | $10.69 | 96.3% | 1 mo. free |
| Driftwood Commerce Park | 3.1 mi | 2003 | Unit | $10.75 | 91.0% | 1 mo. free |

Report generated 05/22/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Management Commentary

Collections for the period were 96.1% of billed charges, with bad debt of 3.6% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members.

The building offers 25' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Service requests are tracked through a work-order system with an average completion time of 22 hours. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Demographics and Employment

Market vacancy for comparable Industrial product stands at 12.7%, down from 3.6% two years ago. Rent growth in the submarket has averaged 3.9% annually over the past 8 years. Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 5.41% and 5.41%. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The building offers 27' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Industrial product stands at 6.1%, down from 6.5% two years ago. Rent growth in the submarket has averaged 5.4% annually over the past 6 years. The Denver Industrial market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

## Property Operations

The building offers 14' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 92.1% of billed charges, with bad debt of 6.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 17 hours.

Service requests are tracked through a work-order system with an average completion time of 38 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. The building offers 12' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $11 per square foot triple net with 3% annual escalations.

## Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Pelican Business Park is located in Denver, CO, a market that has recorded 5.1% population growth over the last five years. The Denver Industrial market has experienced absorption of 1600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Industrial product stands at 11.0%, down from 3.1% two years ago. Rent growth in the submarket has averaged 7.5% annually over the past 8 years.

Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 6.87% and 6.87%. The building offers 21' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

## Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 35th business day. Service requests are tracked through a work-order system with an average completion time of 32 hours. In-place rents average $11 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members.

Collections for the period were 95.8% of billed charges, with bad debt of 6.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day.

## Market Overview

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

## Business Plan Progress

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. Projected levered IRR is 6.5% with an equity multiple of 1.41x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 9.6% with an equity multiple of 1.10x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 40' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

## Market Overview

Rent growth in the submarket has averaged 6.4% annually over the past 5 years. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Pelican Business Park is located in Denver, CO, a market that has recorded 10.2% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Market vacancy for comparable Industrial product stands at 12.2%, down from 5.2% two years ago. The Denver Industrial market has experienced absorption of 4500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 6-mile radius of the property is approximately $341,000 and has grown 5.1% annually. Rent growth in the submarket has averaged 4.2% annually over the past 4 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 6.92% and 6.92%.

## Investor Distributions

The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. In-place rents average $11 per square foot triple net with 3% annual escalations. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The facility is located 4 miles from the interstate with access to a regional intermodal terminal. In-place rents average $11 per square foot triple net with 3% annual escalations. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

## Market Overview

Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.6% annually over the past 11 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Median household income within a 2-mile radius of the property is approximately $206,000 and has grown 5.0% annually.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 3-mile radius of the property is approximately $307,000 and has grown 4.2% annually. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Investor demand for Industrial assets in Denver remains strong with recent trades at capitalization rates between 5.20% and 5.20%. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Employment growth is led by healthcare, logistics, education and professional services sectors.

## Risk Considerations

In-place rents average $11 per square foot triple net with 3% annual escalations. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Projected levered IRR is 12.2% with an equity multiple of 1.17x over the hold period.

The facility is located 5 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

## Demographics and Employment

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

# Disclaimer and Confidentiality

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Pelican Business Park and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. This document relates solely to Pelican Business Park and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Pelican Business Park and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Pelican Business Park and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Pelican Business Park and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CO. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Pelican Business Park and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only